

MNSO vs Pop Mart (2026-08-24)

MNSO vs POP MART — the licensed-retail / owned-IP comparison

2026-08-24 · purpose-built for the MNSO 8/28 print decision (pack gates: GM $\geq 43.3\%$ AND SG&A flat $\rightarrow$ starter $\leq 0.5\%$, field-upgraded to full 0.5% if both pass) · all figures from primary filings cited inline · gates NOT changed by this memo

The one-line verdict up front: these are different businesses wearing the same “China IP retail” costume — Pop Mart manufactures IP and earns 70/40 margins on it; Miniso rents IP and earns 43/14 margins retailing it. The comparison’s real value for Thursday is a control experiment: Pop Mart’s fresh 1H26 print (out 8/20) shows a company holding operating leverage through a deflating hype cycle — which sharpens, not softens, the question Miniso must answer about its own cost line.

1 · The structural difference (the spine)

Pop Mart owns its IP. Labubu/The Monsters, Molly, Skullpanda — created in-house or exclusively licensed from artists. No licensor royalty stack, pricing power on hits, and IP appreciation accrues to the P&L: FY2025 gross margin **72.1%** (RMB 26,765M gross profit on 37,120M revenue; FY25 annual results, HKEX 3/25/26); 1H26 gross margin **69.7%** (11,966M on 17,173M; interim announcement, HKEX 8/20/26). It is an IP-creation company with retail attached.

Miniso rents its IP. Disney, Sanrio, Toca Boca, Star Wars — royalty-bearing licenses layered on value-retail merchandise. March-quarter 2026 gross margin **43.3%** (RMB 2,464M on 5,688M; 6-K EX-99.1, 5/27/26) — and that 43.3% IS the desk’s pack gate, i.e., the gate tests whether Miniso can hold the *ceiling* of licensed-retail economics. The ~26-point gross-margin gap to Pop Mart is structural, not executional: a royalty stack plus value-price-point retail cannot converge on owned-IP economics. Miniso is a value retailer with a licensed overlay, plus TOP TOY — its Pop Mart-adjacent format.

2 · Numbers table (same period: six months ended 6/30/26, RMB M, primary-sourced)

	Pop Mart 1H26 (8/20 interim)	Miniso 1H26 (Q1 actual + 8/17 alert)
Revenue	17,173 (+23.8%)	~11,450–11,550 (+22–23%)
— PRC / Chinese mainland	12,201 (+47.3%)	Q1: CN accel., 5th straight qtr
— Overseas	4,972 (–11.1% ; online –44%)	Q1: 37.5% of MINISO-brand rev (vs 39.0%)
Gross margin	69.7% (FY25: 72.1%)	Q1: 43.3% (vs 44.2% LY) — H1 TBD Thursday
Operating profit	6,725 (+11.3%; ex-other-losses ~+26%, in line w/ revenue)	~1,620–1,660 (+5–7%, incl. RMB 277M LP mark)
Operating margin	39.2% (43.6% LY)	~14.1–14.4% headline
D&S / S&D expense growth	+23.1% — matching revenue	Q1: +44.0% on +28.5% revenue
Adjusted net	5,156 (+9.5%)	~1,210–1,230 (–3% to –1%)
Store economics	~stores + roboshops; capex-light IP engine	8,565 group stores (+797 YoY); TOP TOY 355
Approx. valuation*	~HK\$150–187 recent range vs HK\$339.80 52w high (–45–55% off high); ~11–15× earnings	ADR \$11.05 (8/21 desk tape); ~9–10× adjusted E

Valuation rows are approximations: Pop Mart from IBKR 13/26/52-week statistics (live HK tape closed at pull); share counts derived from reported EPS ($\approx 1.33B$ PM; $\approx 1.22B$ ordinary / $\sim 305M$ ADS MNSO). Flagged, not load-bearing.

Three facts jump out of the table: 1. **Growth has converged.** Pop Mart +23.8% vs Miniso +22–23% for the identical six months. The Labubu supercycle (FY25: +184.7%) is lapping; the two companies now grow at the same rate with a 26-point margin gap between them. 2. **Pop Mart's overseas leg is contracting** — –11.1% total, overseas *online* down ~44% YoY. The global collectible hype wave is deflating in the channel where hype lives (online drops), while PRC re-accelerated +47%. The market has repriced this violently: the stock's 52-week LOW printed within the last 13 weeks, ~55% below the high, *through* a +23.8% revenue half. 3. **The cost-line control experiment (the decisive one for Thursday):** Pop Mart's distribution costs grew +23.1% on +23.8% revenue — operating leverage held even in a deflating cycle (its OPM compression is the other-losses line, largely non-operating). Miniso's S&D grew **+44% on +28.5% revenue** in the March quarter. One of these companies has a category problem; the other has a Miniso problem.

3 • TOP TOY — the clone, honestly measured

Q1 2026: revenue **RMB 514.5M, +51.4% YoY** (~9% of group revenue); **355 stores** (+75 YoY), majority China Retail-Partner model, 39 overseas (6-K 5/27/26). It is working *as a growth line* — but it gets **Miniso economics, not Pop Mart economics**: predominantly curated third-party pop toys at retail margins, carried inside a group at 43% GM, and it took strategic financing in 2025 whose preferred-share redemption liabilities now run fair-value losses through the P&L (RMB 21.4M in Q1, excluded from non-IFRS). A Pop Mart multiple applied to TOP TOY's revenue is a category error the memo explicitly declines: no owned-IP engine, no 70% GM, no hit franchise disclosed.

4 • Read-through for Thursday

The tailwind/drain question is UNVERIFIABLE as cross-elasticity — no disclosure ties collector wallet share between owned-IP blind boxes and licensed value retail, and we won't hand-wave one. What IS verifiable: - The *category* is not Miniso's problem this half: Miniso's China business accelerated five straight quarters while Pop Mart's overseas contracted — their demand engines are different. - The *shape* of Pop Mart's derate is the cautionary read-through: -45–55% off the high through a +24% half, because the market stopped paying hype multiples the moment the E-side (overseas, online) cracked under an intact headline. That is precisely the desk's MNSO kill shape (E falling while R compounds) — Pop Mart shows what the market does to it, at any margin level. - Pop Mart's held operating leverage makes Thursday's SG&A gate **MORE** diagnostic: if Miniso's S&A ratio deteriorates again, it cannot be blamed on the industry.

5 • Valuation gap and what it implies

The market pays ~11–15× (post-derate) for owned-IP economics with hype-cycle risk, and ~9–10× for licensed value retail with a bloating cost line. **Miniso's discount to Pop Mart is structural and mostly correct** — a 26-point GM gap and a royalty ceiling deserve a different multiple; “MNSO is cheap vs Pop Mart” is not an argument this desk will use. The cyclical question inside the structural one is the only live opportunity: Miniso at ~9× adjusted earnings is cheap **iff** the SG&A surge is front-loaded store-opening investment that normalizes (the hiring data says openings are accelerating — the spend is real either way); it is fairly priced or worse if the +44% S&D growth is the new run-rate. That is, verbatim, what the pack's second gate tests Thursday. The Pop Mart comparison adds one asymmetry: the deflating collectible cycle mildly *devalues* any “TOP TOY optionality” leg of a bull case — do not pay for it.

6 • Decision relevance (gates unchanged)

1. **The gates stand exactly as armed** — GM $\geq 43.3\%$ AND SG&A flat $\rightarrow 0.5\%$ (field-upgraded); this memo changes no levels.
2. **The SG&A gate gains diagnostic weight**: the closest peer just demonstrated cost lines can track revenue through a downcycle — an SG&A miss Thursday is idiosyncratic, and the CLOSE-FILE branch should be executed without relitigation.
3. **If both gates pass**, enter knowing what you own: licensed-retail economics at ~9× with execution risk — not a Pop Mart discount, and no collectible-cycle kicker credited.

Sources: Pop Mart interim results announcement 6mo ended 6/30/26 (HKEX, 8/20/26, doc 2026082000353) and annual results FY2025 (HKEX, 3/25/26, doc 2026032500285); MINISO 6-K March-quarter results (EDGAR, 5/27/26, EX-99.1/99.2) and 6-K inside-information H1 alert + earnings-date notice (EDGAR, 8/17/26); desk records MNSO.json (adjudication 8/22, alt-data 8/24). Unverified: live market caps (approximated from EPS-derived share counts and IBKR range statistics); cross-category wallet elasticity (no primary exists); Miniso H1 gross margin (disclosed Thursday); Pop Mart other-losses composition (FX assumed, note not decomposed).